

Tier 1 annual health check — pricing options

Decision memo for the Medical Director · Foundation Clinic · Sep 2026 · new (hourly) doctor-comp model

RECOMMENDATION

Include the annual check as a **member benefit at a discounted co-pay of ~€149** — not free at T1. A free check cuts T1 clinical margin from ~78% to ~57% today and, more importantly, removes the low-utilization cushion that makes T1 profitable. A €149 co-pay covers most of the ~€251 marginal cost, still reads as a strong perk (à la carte ≈ €300+), and keeps T1 above the 45% target across any realistic utilization. Reserve a genuinely free check for T2 (€199), where the fee absorbs it — and use it as the T1 → T2 upsell.

WHAT THE CHECK COSTS US (MARGINAL, PER MEMBER)

COMPONENT	BASIS	COST
Labs	hard cost	€70.00
Doctor 60 min — clinical	€118.50/h	€118.50
Doctor 30 min — analysis/report	€80/h	€40.00
Nurse 30 min	€45/h	€22.50
Total marginal cost / check		€251.00

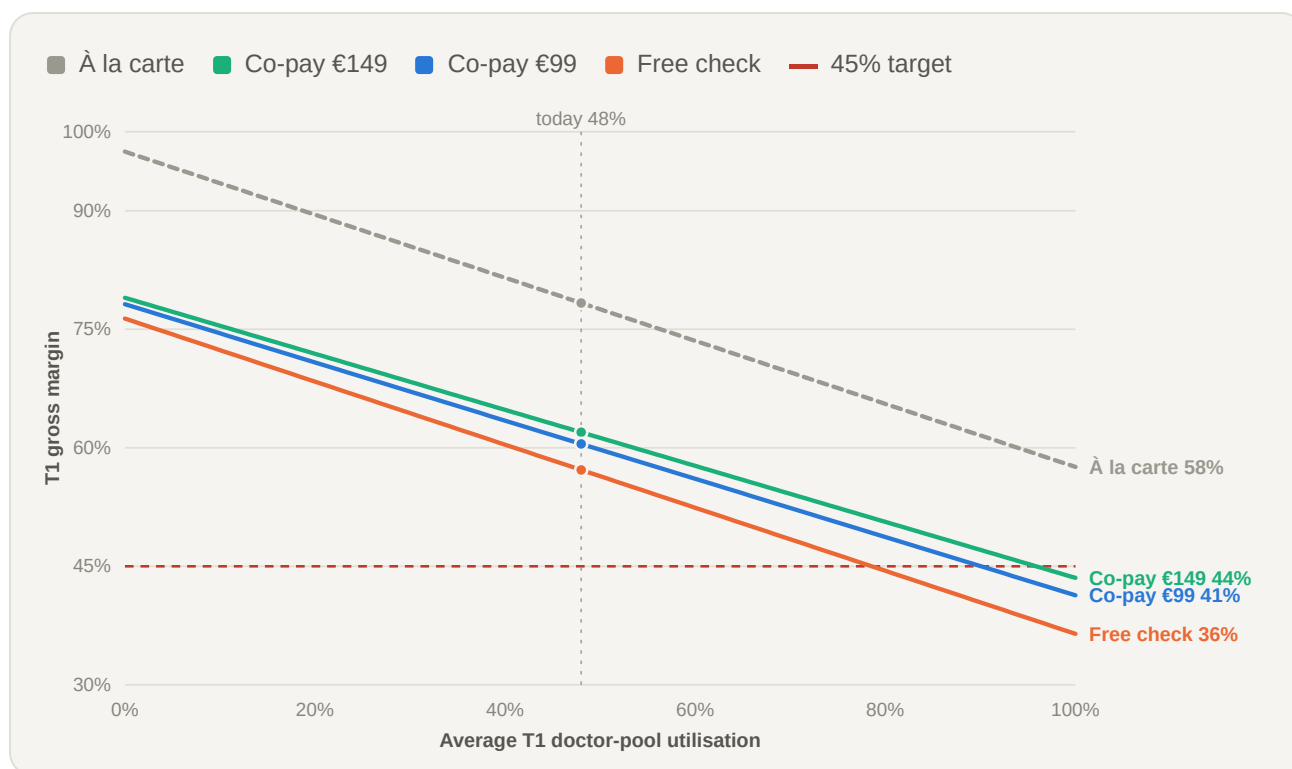
Doctor time split per the actual protocol: 60 min clinical exam + 30 min analysis/report. Costed at the respective new-model rates.

THE OPTIONS, AT TODAY'S UTILIZATION (48% OF POOL)

OPTION	MEMBER PAYS	NET COST TO US	T1 GROSS MARGIN	VS TODAY
■ À la carte (not in membership)	full price	€0	78%	—
■ Co-pay €149 (recommended)	€149	€102	62%	–16pp
■ Co-pay €99	€99	€152	60%	–18pp
■ Free	€0	€251	57%	–21pp

WHEN DOES RISING POOL USAGE FORCE A CHANGE?

T1's ~78% margin exists **only because members underuse their 20-min pool** — today they average **9.6 min/month (48%)**, so ~87% aren't using their full pool. The chart shows T1 gross margin as that average utilization climbs. The horizontal line is the 45% clinic target; where a curve crosses it is the point to act (move the member to T2, or raise the co-pay).



Free check: stays above the 45% target until average pool use reaches ~79% (~16 of 20 min). In plain terms — act when the share **not** using their full pool falls to about 35% (i.e. ~65% of T1 members maxing out).

€99 co-pay: viable to ~90% utilization; **€149 co-pay:** to ~96% — i.e. any realistic level.

Fully utilization-proof (≥45% even at 100% pool use) needs a co-pay of ~€185; à la carte is proof by construction.

WHY NOT FREE AT T1

- **It's really T2 economics.** To give a free check and hold today's ~78% margin, T1 would need to be priced at ~€193/month — i.e. T2.
- **It removes the deductible on our most expensive service.** Today T1 is cheap because most members use little. A free check is a guaranteed €251 event every taker consumes — you trade a favourable "most use little" spread for a fixed high cost.
- **Induced demand.** Annual checks surface findings → follow-up visits → more doctor time, eroding margin beyond the €251.

Assumptions: T1 €99/mo (€1,188/yr), 20-min doctor pool/mo. Doctor pool costed at clinical €118.50/h; annual-check doctor time = 60 min clinical €118.50/h + 30 min analysis €80/h; nurse €45/h; labs €70. T1 utilization from blended-CM actuals Apr–Aug 2026 (9.6 min/member/mo pooled). "Share not using full pool" maps average utilization via a two-group split (light users ≈8 min, heavy users =20 min); it's indicative, not a fitted distribution. Margins are clinical/delivered-cost basis, the dashboard number of record.